

BEFORE THE
FEDERAL MARITIME COMMISSION



YSN IMPORTS INC. d/b/a/ Flame King,
Complainant

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DOCKET NO. 21-02

v.

FEIGE "PEGGY" OBERLANDER, U
SHIPPERS GROUP INC., U SHIPPERS
GROUP MANAGEMENT CO., INC.

Respondents

COMPLAINT

I. THE COMPLAINANT

A. Complainant YSN Imports Inc. d/b/a Flame King (“YSN” or “Complainant”) by their attorneys, Holland & Knight, LLP, bring this action to enjoin Feige “Peggy” Oberlander, and U Shippers Groups Inc. (the “Association”), each a “Respondent,” and collectively the “Respondents”), and to order Respondents to cease and desist from taking advantage of the acute market disruption caused by COVID-19 by imposing unlawful and unreasonable “for-profit” additional fees for use of a Service Contract entered by the Association on behalf of its Members (including YSN); to comply with the Shipping Act and the Commission's Regulations regarding Shippers' Associations entering ocean service contracts, and to pay reparations to Complainant with respect to bookings with ocean common carriers for which Complainant should have been entitled to the service contract rates obtained by the Association, but for which Complainant was forced to pay higher rates due to Respondent's actions in violation of the Act and the Commission's Regulations.

B. Complainant YSN is a corporation formed under the laws of the State of Nevada, with its principal office in California. YSN is located at 8616 Slauson Ave., Pico Rivera, California 90660, United States.

C. Complainant is individually a shipper of cargo through ocean common carriers, and collectively, with numerous other shippers, is a member of the Association for purposes of entering service contracts with ocean common carriers.

II. THE RESPONDENTS

A. Feige “Peggy” Oberlander (“Oberlander”) is a natural person, with a domicile in Kings County, New York.

B. U Shippers Groups Inc. (“the Association”) is a Delaware entity, with its principal place of business located at 85 Skillman Street, Brooklyn, New York, 11205. The Association is or purports to be a Shippers’ Association, of which Complainant is a member.

C. U Shippers Group Management Co., Inc. (“Management”) is a New York entity, with its principal place of business located at 85 Skillman Street, Brooklyn, New York, 11205, United States. Oberlander is the Association’s sole director and is also the sole officer and beneficial owner of Management.

D. Management has the power to enter all agreements for the Association, establish, charge, and collect all membership dues and fees, select members of the Association, has exclusive authority to conduct negotiations for the Association and suspend or expel any member of the Association.

E. The Association is controlled and dominated by Management and Oberlander with a complete disregard for corporate form, such that Management and Oberlander are alter-egos of the Association and, in effect, the Association, Management and Oberlander should be treated collectively as one enterprise under the Act.

III. JURISDICTION

A. The Commission has jurisdiction under the Shipping Act of 1984, as amended, (“the Act”), 46 U.S.C. § 40502, to regulate service contracts and does so in its regulations at 46 C.F.R. Part 530. 46 U.S.C. § 41301 (a) (the “Regulations”).

B. The Commission exercises jurisdiction over persons, including individuals, as necessary to achieve its regulatory objectives. Particularly in this situation, where there are a number of entities, and purported associations or groups, the principals behind the whole operation must be reached by the Commission in order for the Commission to exercise its regulatory power. 46 U.S.C. § 1.

C. The Commission has authority to rule on violations of the Act that occur in connection with service contracts. Of paramount importance is the Commission’s obligation to ensure the legality of service contracts, 46 U.S.C. § 40502 and 46 C.F.R. Part 530.1, and to comply with the Commission's Regulations. 46 U.S.C. §41107(a).

D. The Commission looks to definitional requirements when assessing compliance with the Act. *See Rose International, Inc., v. Overseas Moving Network International, Ltd., et al.*, 29 S.R.R. 119 (FMC 2001). Congress deliberately included the requirement that Shipper's Associations operate "on a nonprofit basis." As such, the definition for Shippers’ Association,

under the Act requires a shippers' association to operate "on a nonprofit basis for the members of the group."

E. The legislative background of the Shipping Act also demonstrates the importance of the Shippers' Association being a nonprofit because they were "engaged in consolidating or distributing freight on a nonprofit basis, for the shipper or members of the group to secure carload, truckload, or other volume rates" as defined under the Interstate Commerce Act ("ICA").

F. The Act's definition of Shippers' Association includes the key language that a Shippers' Association is "a group of shippers that consolidates or distributes freight on a nonprofit basis for the members of the group to obtain carload, truckload, or other volume rates or service contracts."

G. The Association's excessive additional fees render it functionally a for-profit freight consolidator, violating the historical purpose, legislative history and judicial interpretation of what it means to be a Shippers' Association under the Act.

IV. STATEMENT OF THE CASE

A. Introduction

1. Respondents have acted unlawfully by imposing "for-profit" additional fees on its shipper Members, including YSN, for use of service contracts entered by the Association under the Act as a "nonprofit" Shippers' Association within the meaning of the Act.

2. The excessive additional fees charged by the Association to the Complainant, for use of Service Contract No. 298299458 (the "Service Contract") between the Association and Maersk Lines ("Maersk"), is compelling evidence that the Association is operating as a "for-profit" enterprise, rather than as a nonprofit Shippers' Association, as required by the Act for the benefit of the members of the Association.

B. Facts

1. On or about January 28, 2020, Oberlander formed Management to be her management company, to manage the affairs of Association, as directed by her, the sole director of the Association. Oberlander is the sole equity holder of Management.

2. On or about January 29, 2020, Oberlander formed the Association to be a Delaware non-stock corporation to engage in obtaining high volume shipping contracts with ocean common carriers (e.g., Maersk and ONE), on behalf of the members of the Association.

3. Beginning in January 2020, a new virus spreading out of China, COVID-19, started to cause worldwide container shipping disruption.

4. On February 3, 2020, the United States declared a health emergency regarding COVID-19.

5. In early February 2020, Oberlander was introduced to Shmuel (Sam) Newman (“Newman”), one of the principals of YSN.

6. On February 13, 2020, Oberlander sent an email to Newman containing information about the Association’s services. The information contained a representation that the Association would charge a \$55 fee per container shipment, which is built into the fee paid to the ocean carrier and remitted to the Association by the ocean carrier. The material about the Association also represented that no other fees would be charged.

7. On February 19, 2020, Oberlander again emailed Newman an application asking for YSN’s estimated shipping volume, saying she needed this information to show strength to negotiate with ocean carriers.

8. Newman replied by email with the executed application, which stated that YSN estimated it would be looking for a minimum of 750 40-foot equivalent unit (FEU) container shipments from Asia to the U.S. West Coast.

9. Oberlander responded, acknowledging receipt of the application. On February 24, 2020, Newman emailed Oberlander “a heads up... it seems that rates are coming down because of the Corona-virus.” Oberlander replied, asking Newman if he could make referrals of other shippers to her business.

10. On March 7, 2020, Governor Andrew Cuomo declared a state of emergency in New York related to COVID-19.

11. On March 13, 2020, President Donald Trump declared COVID-19 a national emergency.

12. On March 19, 2020, California declared a statewide stay at home order.

13. On March 22, 2020, the New York Pause Program began and all non-essential workers in New York were required to stay home. By this point, New York State had also closed bars, restaurants, schools, etc.

14. As a result of the shutdowns in the United States and other countries, global economic activity was greatly reduced from April to July 2020.

15. In response to this reduced activity, major container shipping lines had significantly less business and reduced their capacity accordingly.

16. After the February 25 email, the next time YSN heard from the Respondents was on May 20, 2020, when Oberlander called Newman requesting YSN provide United States zip codes to which YSN is shipping so she could obtain shipping rates and present a big package to the carriers when negotiating prices. YSN provided such information via email.

17. On June 10, 2020, Oberlander emailed Newman that “We are in the final stages of launching our association. Please stand by.”

18. Beginning in July 2020, as economic activity ramped back up, container shipping from China increased causing shortages in available space and reduced capacity on the major containership lines.

19. On July 14, 2020, Oberlander emailed to Newman the membership enrollment agreement to become a Member of the Association.

20. The membership enrollment agreement sets forth a \$55 per container fee on an “as-used” basis and specifically stated “no further amounts will be charged to the Member.”

21. On July 15, 2020, Newman executed the application and sent it back via email to the Association.

22. On July 20, Oberlander emailed Maersk that YSN was a Member of the Association and should be added to the Maersk system. The Association has informed YSN that the Association has signed an ocean service contract with Maersk, but to date has never supplied a copy of such contract to YSN.

23. At no time did any Respondent present to Complainant any notice, reservation, or other indication by document or agreement that stated or implied the Association would seek to impose additional fees, at its discretion and to reward itself, in excess of the \$55 per container fee already stipulated and agreed with its members.

24. By this time, late July - early August, space in the container shipping industry was tightening and the parties were aware that there may be space availability issues in the future.

25. On August 10, 2020, less than a month after the Complainant joined the Association, Oberlander emailed members reiterating: “As the association director, I am here to support your best interest.” Of particular concern for individual shippers, carriers were engaging the practice of "rolling over" cargo (holding containers back when vessel space becomes limited). She further informed them that even though there are roll overs of containers happening in the industry, “[i]f you need help protecting your cargo, please send us [sic] email and will work on protecting your space.”

26. As of August 12, 2020, two days after sending an email about roll overs in the shipping industry, Oberlander emailed asking YSN to increase the number of Transpacific eastbound container bookings they were placing through the Association. In response to Oberlander’s request and in reliance on the Membership Agreement’s stated price, YSN proceeded to switch over the bulk of its container bookings to go through the Association.

27. Since mid-August 2020, Complainant has booked numerous Shipments through the Association under the Service Contract and has paid the ocean freight and charges invoiced by the carrier.

28. On September 13, 2020, certain orders YSN placed with Maersk were cancelled. In response to an inquiry from YSN, on September 14, 2020, Oberlander emailed YSN that the Association opened the portal to too many users and had exceeded its then-current period allocation with Maersk. Maersk would only be honoring the quantity of containers committed to in the Service Contract and not more and the Association would “set a plan for a certain amount of committed containers per week, per association member, so [the Members can] share [the Association’s] space equally.”

29. At this point, September 2020, the carriers responded to the shortage of space by strictly enforcing all contracted for spaces allocated on their ships and greatly increasing prices for unallocated space, if there was space available.

30. Therefore, as of October of 2020, even if the Complainant were to try and secure space on other shipping lines, it would likely not be able to get space at all and any limited available space would be at drastically inflated prices as compared to the rates in the Service Contract.

31. On October 27, 2020, Oberlander sent YSN an email saying she wanted to handle YSN's customs clearance for incoming containers.

32. YSN replied that they will consider it if the pricing is comparable to what they were paying to other service providers.

33. On or about October 28, 2020, a phone call between Newman and Oberlander took place, during which Oberlander threatened to throw YSN out of the Association unless YSN allowed Oberlander to handle the customs clearance. She also said she wanted to charge an extra \$100 to \$150 per container for a management fee. Newman told her that this was a breach of the current agreement with the Association and was rejected.

34. On November 9, 2020, Oberlander emailed the Members that they will need to pay an extra \$1,000 per container to the Association in order to get a "sea priority feature via Maersk" to secure booking with this carrier under the Service Contract.

35. After the November 9, 2020 email, Newman spoke with a high-ranking representative at Maersk, and Maersk confirmed that they have not changed their agreement with the Association, and the additional fee was not charged by the carrier but instead was directly imposed by the Association against its member shippers. He further said that there is a freeze on

any new contracts or changes to existing contracts, and any new rates would have to be filed with the Federal Maritime Commission and that was not going to happen until well into next year, 2021, when the congestion was supposed to end.

36. On November 16, 2020, Oberlander emailed the members of the Association stating that they would need to pay an extra management fee of \$1,200 per FEU, starting December 1, 2020, if they want to continue shipping with Maersk under the Service Contract. Oberlander explained the reason for the substantially increased fees as follows: “The Association has been successful on an ongoing basis to prevent Maersk from blocking Association members’ containers on vessels and from assessing substantially inflated spot rates. In view of these Association successful efforts on a continuing basis, the Association has decided to add additional fees to Maersk cargo but only to the extent that Maersk does not assess higher spot rates (not service contract rates) to the Association’s members’ cargo.” In this email, Oberlander requested that the Members sign an amendment to the application form to the Association to formalize the change to impose the additional fee of \$1200 per FEU instead of the previously agreed \$55 fee.

37. Newman again spoke with Maersk and confirmed that this additional fee was not coming from Maersk, but instead was imposed solely by the Association against its Members.

38. On November 20, 2020, YSN, through counsel, wrote to the Respondents demanding they honor the contracts that were executed with the Association.

39. On November 23, 2020, the Respondents, through counsel, replied to the November 20 letter, reiterating the Respondents’ position that they could charge these “management fees” under the Association’s bylaws.

40. On November 24, YSN's counsel replied to Respondents' counsel demanding they honor the contracts that were executed.

41. On November 24, 2020, Newman again spoke with Maersk, who confirmed that they were only offering spot rates and not signing any new contracts for at least another 2-4 months.

42. Maersk stated they are strictly holding everyone to their allocation, and taking allocation away from companies that are not using their contractual allocation. This means that unless Association members are able to utilize the Service Contract with Maersk, they will not be able to ship with Maersk.

43. On November 25, 2020, Oberlander sent another email reminding the Association members to sign and agree to the new "agreement" she sent out with the substantially higher additional "management fees" of \$1200 per FEU.

44. On November 25, 2020, counsel for the Respondents' emailed counsel for YSN, in which he suggested YSN execute the new agreement, while reserving its rights. He then said that if YSN did not pay the fees, YSN's Membership in the Association would be terminated for cause.

45. In response to repeated demands from the Complainant and counsel for the Complainant for copies of whatever document would justify the additional fees, on November 30, 2020, counsel for the Respondents sent what the Respondents purport to be the bylaws of the Association to justify the new fees.

46. The bylaws are silent on many issues related to the timing of any fees. They do not require the Association to charge any fees. The bylaws also do not say that the Association can change terms to which it had previously contractually agreed.

47. YSN continued booking shipping via Maersk in accordance with its previous practice.

48. On December 1, 2020, the Association started invoicing Complainant the increased fee of \$1,200 per FEU described in the November 16 email.

49. On December 3, 2020, the Association sent YSN two invoices aggregating to \$18,600 in “management fees” for shipments YSN has booked on Maersk but not yet shipped.

50. On December 7, 2020, the Association, sent YSN another invoice for \$48,000 in “management fees” for shipments YSN has booked on Maersk but not yet shipped.

51. In the ongoing correspondence with YSN, Respondents did not offer anything new which would justify imposing the additional fees. The Association already had entered into the Service Contract with Maersk for certain set fees and certain container amounts for which it had agreed with its members would incur a \$55 per container fee.

52. Maersk was obligated, pursuant to the Service Contract, to charge the Association the agreed upon fees for the allocation of space and there are no additional charges put forth by Maersk.

53. To date, YSN has been invoiced for \$262,200 in additional management fees and after refusing to pay said fees. The Association informed YSN that if it did not pay the fees, the Association would expel YSN from the Association and deprive YSN from access to the Service Contract.

54. The Service Contract that YSN used to book the Shipments is the very same one that was in place from the beginning of Complainant’s membership in the Association.

55. On February 18, 2021, the Association notified YSN by email as follows:
"Your membership in U Shippers Group, Inc. is terminated due to your excessive and

disproportionate bookings." The Association terminated YSN's membership on the basis that YSN had booked too many containers under the Service Contract with Maersk.

56. Shortly thereafter, Maersk notified YSN that the Association had instructed Maersk not to accept any further YSN bookings, and that Maersk was cancelling YSN bookings for over 115 containers that Maersk had already accepted.

57. Any shortage on allocation of containers from Maersk is only because of mismanagement by Oberlander, who admitted to taking too many members into the Association's portal in August and September 2020, thus using above and beyond the Association's allowed allocation of container shipments in the Service Contract.

58. The Respondents were at all times fully aware of the allowed allocation under the Service Contract, and YSN's needs, having asked YSN for their requirements to negotiate the Service Contract with Maersk using the YSN's volume of container shipments as leverage and specifically requested that YSN increase its container shipments with the Association.

59. As a result of Respondents' enticing YSN to transfer the Shipments to the Association to increase leverage of the Association in negotiating the rates in the Service Contract, Complainant does not now have the ability to go back and book container shipments with their prior service contracts because they effectively switched almost all their container shipments to the Association.

60. Therefore, if YSN is denied use of the Service Contract negotiated with Maersk by and through the Association, as an importer, their business will effectively be shut down, causing irreparable damage to their business, and to customer relations. YSN will suffer losses that will be difficult to calculate, because there will be an indeterminable number of

cancelled or lost customer purchase orders, and lost good will with many customers, which will have sustained negative financial ramifications for many years to come.

61. The Association's decision to charge additional fees notwithstanding entering the Service Contract on behalf of YSN and other Members is a blatant attempt to profit from the tight container shipping market, extort payments from the Association's own members for the access to container space to which they are already entitled under the existing Service Contracts, and exploit YSN's current inability to obtain available space at comparable rates established by the Service Contract with Maersk.

62. The Association has paid or intends to pay substantial management fees with respect to this Service Contract to affiliates of the Association, which are under common ownership and control with the Association, including Management, of which Respondent Oberlander holds all equity interests.

63. The additional fees imposed by the Association are compelling evidence of its distinctly "for-profit" and opportunistic decision to deprive its Members of the benefits of the Service Contract during an acute market disruption caused by COVID-19, in which spot prices for inbound movements from Asia to the United States have spiked, and space available on the carrier's vessels has tightened. Notwithstanding the Association's substantially lower rates in its Service Contract with Maersk, obtained for and on behalf of its Members and supposedly on a nonprofit basis, the Association has taken action to exploit the situation and unilaterally reward itself for its own performance by imposing windfall fees on its own Members, on pain of expulsion from the Association and being cut-off from the favorable Service Contract, and to distribute such fees to the Association's Management Company, organizers and affiliates as "profits."

V. VIOLATIONS OF THE ACT

A. THE “FOR PROFIT” FEES IMPOSED BY THE ASSOCIATION DEPRIVE IT OF STATUS AS A “SHIPPERS’ ASSOCIATION” WITHIN THE DEFINITION OF THE ACT AT 46 U.S.C. § 40102(24), OR THE REGULATIONS AT 46 CFR § 520, WHICH REQUIRE THAT A SHIPPERS’ ASSOCIATION MUST OPERATE ON A NONPROFIT BASIS.

1. The Act provides at Section (3)(r) as follows: “*Shipper* means a cargo owner; the person for whose account the ocean transportation is provided; the person to whom delivery is to be made; a shippers’ association; or an NVOCC that accepts responsibility for payment of all applicable charges under the service contract.”

2. A Shipper must be either a beneficial cargo owner, consignee, shippers’ association, or an NVOCC. The Association is neither a cargo owner nor a consignee, and is not licensed as an NVOCC.

3. A “for-profit” consolidator or other entity is not a “shippers’ association” within the meaning of the Shipping Act Section 3 (24), which provides as follows: “shippers’ association means a group of shippers that consolidates or distributes freight **on a nonprofit basis** for the members of the group in order to secure carload, truckload, or other volume rates or service contracts.” (emphasis added). The Association's decision to impose “for-profit,” additional fees on its members to take advantage of acute spikes in the spot prices for freight has rendered it a *de facto* for-profit freight consolidator operation.

4. The Association does not meet the definitional requirements of the Act which requires a Shippers’ Association to operate “on a nonprofit basis for the members of the group.”

5. In the absence of meeting the Shippers' Association definition in the Act, the Association does not qualify as an entity that is entitled to enter a service contract with an ocean common carrier. As such, the Association should be enjoined from acting as a for profit freight consolidator by imposing the additional "for profit" fees against YSN for use of the Service Contract with Maersk during the pendency of these proceedings, and subject to the Commission's investigation and findings as to the nonprofit status of the Association.

B. THE ASSOCIATION, ACTING AS A "FOR-PROFIT" ENTITY, CANNOT MAKE THE CERTIFICATION TO BE RECOGNIZED AS A SHIPPER IN A SERVICE CONTRACT WITH A CARRIER, AS REQUIRED BY THE ACT AND THE COMMISSION'S REGULATIONS.

1. Under the Act and the Commission's Regulations, an ocean common carrier must either charge tariff rates or charge rates in an effective service contract.

2. The Commission's Regulations require the "shipper" party to a service contract to certify that it is either a beneficial cargo owner, a shippers' association, an NVOCC or "specified other designation" (which presumably would have to be eligible to enter a service contract) under the Act and the Commission's Regulations.

3. Commission Regulations at 46 C.F.R. § 530.6(a) address certification of shipper status: "*Certification.* The shipper contract party shall sign and certify on the signature page of the service contract its shipper status (e.g., owner of the cargo, shippers' association, NVOCC, or specified other designation), and the status of every affiliate of such contract party or member of a shippers' association entitled to receive service under the contract."

4. The Association is charging additional fees (above those negotiated as part of the Service Contract) to its Members, at its own discretion and to reward itself for perceived successful performance, acting as a "for-profit" freight consolidator, which does not meet the

“shippers’ association” definition, and thus the Association cannot lawfully make this certification, as required by the Act.

5. Based on the Association’s decision to impose “for-profit” additional fees on its Members, the Association is in violation of the Act and is not competent to make the certification of “shipper status” as required by the Act and the Commission's Regulations.

C. THE ASSOCIATION MISREPRESENTED ITS STATUS AS A NONPROFIT SHIPPER'S ASSOCIATION TO INDUCE MAERSK AND OTHER OCEAN COMMON CARRIERS TO ENTER SERVICE CONTRACTS AND OBTAIN RATES OTHERWISE UNAVAILABLE TO A FOR-PROFIT FREIGHT CONSOLIDATOR IN VIOLATION OF THE GENERAL PROHIBITION UNDER THE ACT AND THE COMMISSION'S REGULATIONS.

1. The Association is acting in an unlawful and unreasonable manner in violation of the Act and the Commission's Regulations by denying YSN access to the Service Contract that the Association negotiated on behalf of YSN and the other Members of the Association.

2. By charging "for profit" amounts to its own members, thus disqualifying Respondents from being a qualified "shippers' association" eligible to enter service contracts with ocean common carriers under the Shipping Act, certifying that the Association is a "shippers' association" inducing Maersk to enter the Service Contract and possibly service contracts with other ocean common carriers, and denying YSN access to the Service Contract rates with Maersk because YSN will not make such additional payments to Respondents, Respondents are violating the general prohibitions for practices under 46 U.S. Code §41102 General Prohibitions which provides: (a) Obtaining Transportation at Less Than Applicable Rates - A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any

other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply. (emphasis added)

3. The Association is acting in an unlawful and unreasonable manner in (i) charging "for-profit" additional fees to YSN in excess of agreed amounts in the agreements in place when the Association entered the Service Contract with Maersk, and by (ii) acting to expel YSN from membership in the Association based on refusal to pay the excessive additional fees.

4. Not only is the Association violating the Act, but the Association affirmatively acts as a for-profit in levying the excessive fees upon its members. By requiring the Complainant to enter into new contracts at the new rates, and by expelling the Complainant for failure to pay unjustified fees, the Association blatantly shows its purpose as a for-profit entity.

5. The Commission should enjoin the Association from engaging in the unlawful and unreasonable conduct, and maintain the status quo by ordering the Association to permit YSN access to the Service Contract during the pendency of this proceeding, and enjoin the Association from charging the "for-profit" additional fees for access to and use of the Service Contract with Maersk, and award reparations to Complainant with respect to bookings cancelled by Maersk and other subsequent bookings on which Complainant was required to pay freight and charges in excess of those available under the Service Contract.

D. RESPONDENTS' VIOLATIONS OF BOTH THE ACT AND THE COMMISSION'S REGULATIONS BY OPERATING ON A "FOR-PROFIT" BASIS AND FALSELY CERTIFYING IN THE SERVICE CONTRACT THAT IT IS NONPROFIT SHIPPERS' ASSOCIATION HAS CAUSED COMPLAINANT TO LOSE BOOKINGS AND TO INCUR COSTS TO PAY HIGHER SPOT RATES FOR EXISTING AND FUTURE BOOKINGS, ALL OF WHICH ENTITLES COMPLAINANT TO REPARATIONS IN AN AMOUNT TO BE DETERMINED BY THE COMMISSION.

1. Respondents have acted in violation of the Act and the Commission's Regulations, as described above in Counts A and B, and have sought to pre-textually expel Complainant from the Association thus depriving Complainant of access to favorable rates in the Service Contract.

2. Complainant has suffered and will suffer substantial economic losses by being forced to pay spot market rates for the lost bookings rescinded under the Service Contract by Maersk, and for future bookings under the Service Contract.

3. Complainant is entitled to reparations for losses suffered due to Respondents' violations of the Act, the Commission's Regulations, and wrongful expulsion from the Association.

VI. RELIEF REQUESTED: PROPOSED FINDINGS FOR THE COMMISSION

Complainant submits the Commission should find as follows:

A. The Commission undertakes to investigate the Respondents' conduct that violates the Act and the Regulations in accordance with 46 U.S. Code §41302.

B. During the Commission's investigation, under 46 U.S. Code §41302(b), the Service Contract with Maersk shall remain in effect based on the stipulated and agreed per container shipment fee of \$55 for the benefit of the individual shipper members of the Association.

C. The additional fees imposed by the Association for use of the Service Contract with Maersk are in violation of the Act, and a cease and desist order is appropriate against Respondents' use of such additional fees in the future.

D. To protect Complainant from further damages due to Respondent's "for-profit" additional fees, the Commission enjoins the Association from imposing additional fees in accordance with 46 U.S. Code §41306 or 46 U.S. Code §41307.

E. The Association may not charge any fees in excess of the \$55 per container contracted fee, and that the invoices for additional fees to Complainant for Shipments under the Service Contract are null and void;

F. The Association may not cancel YSN's membership or expel it from the Association for its objection to the additional fees or for any failure to pay the additional fees;

G. Respondents are ordered to pay reparations and civil penalties for violation of the Act and the Commission's Regulations.

H. Any such other relief this Commission may determine as fair and just.

Dated: February 26, 2021

Respectfully submitted,

By: *J. Michael Cavanaugh*

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VERIFICATION

I, Shmuel Newman , signed the foregoing Complaint, and I state under penalty of perjury that I believe the facts stated therein to be true and correct, upon my knowledge, information, and belief.

Respectfully submitted,

By: 

YSN Imports Inc. d/b/a Flame King

Dated: February 26, 2021